Advanced Assurance Workshop 1

Welcome to class



Introduction

Expectations for the day

- First AA Workshop – ask questions throughout the day
- You should have completed Module 1–3, and Lesson 1-2 of Module 4 on your own prior to class
- Have all materials on hand (including laptop, course materials, calculator, pen, etc)
- Active participation expected in class
- Professionalism
- No phones during class time

Timetable

- Class starts at 09:30 – please ensure you are in class and ready to start
- Morning break – 15 minutes
- Lunch – 1 hour
- Afternoon break – 15 minutes

Introduction

Modules covered in Workshop 1

- Module 1: Professional Ethics
- Module 2: Evaluating Data Integrity
- Module 3: Audit Acceptance and continuance
- Module 4: Audit Planning (Lesson 1 – 2)

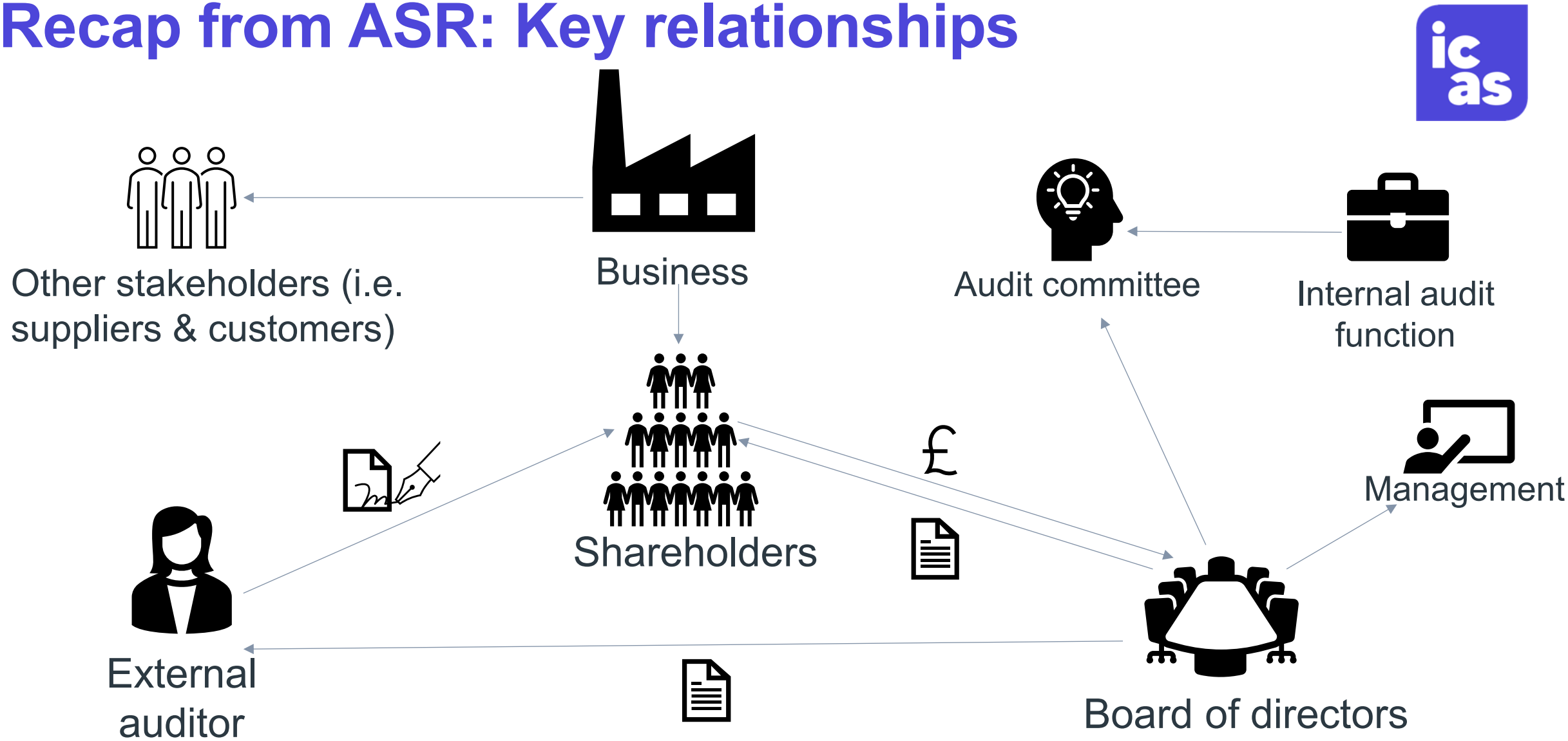
Icebreaker

Activity

In your groups discuss..

- If you could have dinner with any three people, who would you choose and why?
- Sweet treat or savoury snack? (We can take a vote on this one!)

Recap from ASR: Key relationships



Recap from ASR

What is an assurance engagement?

In assurance**, independent**, qualified professionals give an objective, unbiased **opinion** on financial and non-financial information which enhances the **credibility** of the information being reported on. This ensures that users have more **confidence** that high-quality, reliable information is available for decision making.

What does a statutory auditor do?

In statutory audit, **directors** are responsible for **preparing** the financial statements. Auditors will match the financial statements to the financial reporting framework and legal requirements, gather **evidence** and give **reasonable assurance** on whether the financial statements give a **true and fair view** through a written report to the shareholders.

For a statutory audit to be effective, auditors must perform an audit with an attitude of **professional scepticism** and exercise professional judgement throughout the audit process.

Recap from ASR
Quiz

It’s quiz time….



Thinking back to ASR… Let’s test your knowledge

Question 1

QUESTION

Identify which of the following is an element of an assurance engagement

A) A statutory auditor

B) A two-party relationship

C) Suitable criteria

D) A basis for performance

Question 1

ANSWER

Identify which of the following is an element of an assurance engagement

A) A statutory auditor

B) A two-party relationship

C) Suitable criteria

D) A basis for performance

A three-party relationship, an appropriate subject matter, suitable criteria, sufficient appropriate evidence and a report with a conclusion are the five elements of an assurance engagement.

Question 2

QUESTION

Read the statement carefully and select the missing word(s).

Agency Costs are the costs of reducing _____

A) Audit fee

B) Agency risk

C) Directors' remuneration

Question 2

ANSWER

Read the statement carefully and select the missing word(s).

Agency Costs are the costs of reducing _____

A) Audit fee

B) Agency risk

C) Directors' remuneration

Shareholders can control the activities of directors to reduce agency risk. Any costs associated with measures to 'keep an eye on the directors' are called agency costs. An example is the costs of audit.

Question 3

QUESTION

Identify which of the following entities could be entitled to an exemption from audit

A) A public company that is not dormant

B) A private retail company with a statement of financial position total of 3.2m and 47 employees

C) An insurance company

D) A Scottish charity with gross income of £578,000

Question 3

ANSWER

Identify which of the following entities could be entitled to an exemption from audit

A) A public company that is not dormant – *never exempt from audit*

B) A private retail company with a statement of financial position total of 3.2m and 47 employees

C) An insurance company– *never exempt from audit*

D) A Scottish charity with gross income of £578,000 – *more than £500k so not exempt*

A private retail company with a statement of financial position (SOFP) total of £3.2m and 47 employees meets 2 out of the 3 necessary criteria to be entitled to the audit exemption:

- Balance sheet/SOFP no more than £7.5m
- Turnover/Revenue no more than £15m
- Less than 50 employees

Question 4

QUESTION

"A professional accountant should comply with relevant laws and regulations, behave in a manner consistent with the profession's responsibility to act in the public interest, and should avoid any action that discredits the profession"

This is the definition of which principle?

A) Integrity

B) Objectivity

C) Confidentiality

D) Professional behaviour

Question 4

ANSWER

"A professional accountant should comply with relevant laws and regulations, behave in a manner consistent with the profession's responsibility to act in the public interest, and should avoid any action that discredits the profession"

This is the definition of which principle?

A) Integrity

B) Objectivity

C) Confidentiality

D) Professional behaviour

Question 5

QUESTION

The audit partner and manager have been involved in the recruitment of a new Finance Director and Managing Director at the client. This is an example of which category of threat under Section 1 of the FRC *Ethical Standard*?

A) Self-interest

B) Self-review

C) Management

D) Advocacy

Question 5

ANSWER

The audit partner and manager have been involved in the recruitment of a new Finance Director and Managing Director at the client. This is an example of which category of threat under Section 1 of the FRC *Ethical Standard*?

A) Self-interest

B) Self-review

C) Management

D) Advocacy

A management threat arises when the audit firm undertakes work that involves making judgements and taking decisions that are the responsibility of management.

Question 6

QUESTION

Which of the following is not under the control of the auditor?

A) Inherent risk

B) Detection risk

C) Sampling risk

D) Non sampling risk

Question 6

ANSWER

Which of the following is not under the control of the auditor?

A) Inherent risk

B) Detection risk

C) Sampling risk

D) Non sampling risk

The only risk within the above that the auditor cannot control is inherent risk, as this risk already exists within the client and the auditor can only assess it.

Question 7

QUESTION

Identify which of the following procedures is a practitioner NOT required to carry out prior to accepting an assurance engagement:

A) Perform client identification procedures

B) Assess the legal and financial stability.

C) Evaluate the firm's ability to undertake the assurance engagement.

D) Agree the assurance engagement fee with the shareholders.

Question 7

ANSWER

Identify which of the following procedures is a practitioner NOT required to carry out prior to accepting an assurance engagement:

A) Perform client identification procedures

B) Assess the legal and financial stability.

C) Evaluate the firm's ability to undertake the assurance engagement.

D) Agree the assurance engagement fee with the shareholders.

Although it is likely that the practitioner will want to have agreed the fee, it is not a requirement to agree the engagement fee with the shareholders prior to accepting an assurance engagement.

Question 8

QUESTION

What is the usual course of action if the client does not give permission to approach the outgoing auditor?

A) Accept this as it is the client's decision, and continue with the audit

B) Refuse the engagement

C) Contact them anyway

Question 8

ANSWER

What is the usual course of action if the client does not give permission to approach the outgoing auditor?

A) Accept this as it is the client's decision, and continue with the audit

B) Refuse the engagement

C) Contact them anyway

If the client does not give permission to approach the outgoing auditor, the auditor should normally refuse the engagement as this can raise concerns about the integrity of the management.

Activity -Example of Annual Report

Access Tesco's Annual Report 2025

https://www.tescoplc.com/media/ky0bfwpo/tesco_ar25_interactive.pdf

OR via an internet search

- What does the auditor 'audit'?
- What does the auditor 'read'
- Quickly review structure/sections of the auditor's report (pages 124 to 134)
- What was group overall and performance materiality for the audit?

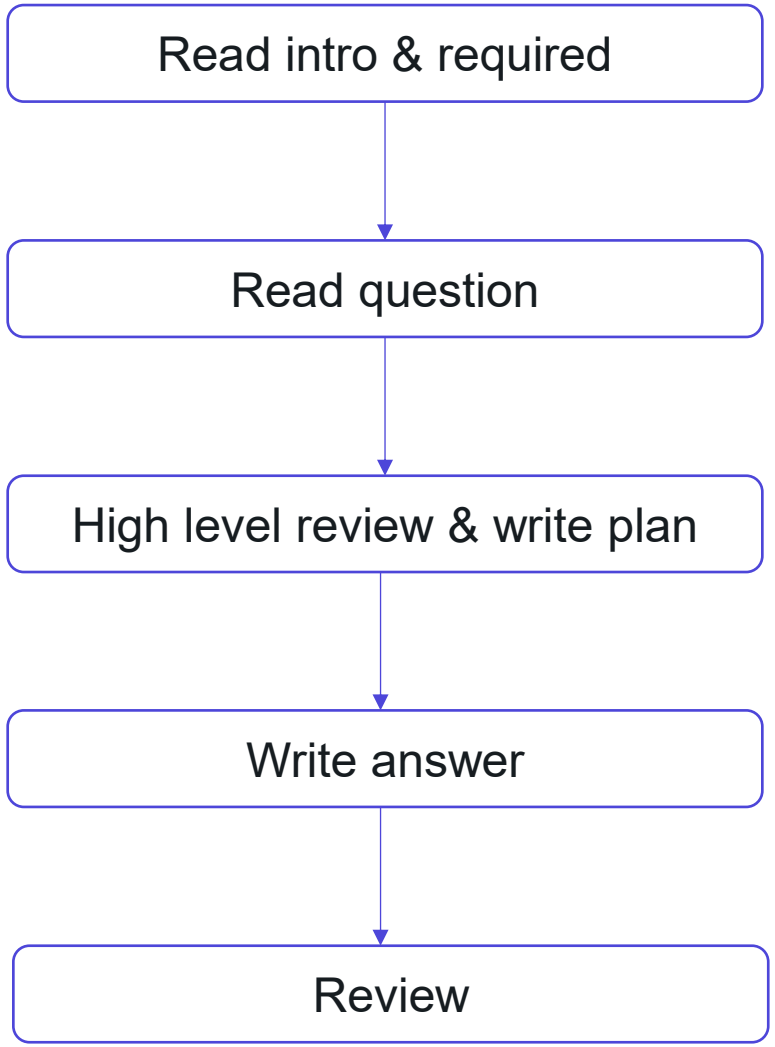
Advanced Assurance

Assessment approach and study techniques

Assessment information

- 3 sections in AA paper
- Each section worth 30-50 marks
- Each section will have between 1 and 5 questions
- Total marks 120
- Assessment duration 2.5 hours
- Permitted materials available to use

Assessment approach



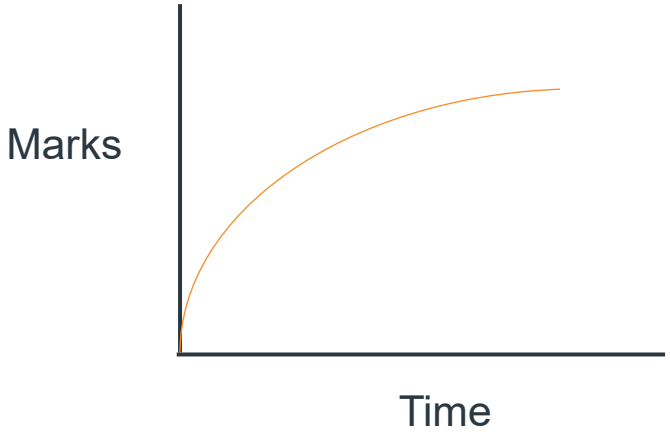
Assessment approach
Timing example

	Marks	Time (min)
Section 1	50	62.5
Section 2	30	37.5
Section 3	40	50
Total	**120**	**150**

	Marks	Time (min)
Section 1	40	50
Section 2	40	50
Section 3	40	50
Total	**120**	**150**

Assessment approach
Timing

- STICK TO THIS TIMING
- Learn to move on, even if not finished
- Diminishing **marginal** marks



Assessment approach
Mark allocation

- 1 mark – for an answer taken from the scenario and related to the question (a fact / a weakness)
- 1 mark – for a basic procedure (enquiry) or a procedure from the standards applied to the scenario
- 2 marks – for analysis / evaluation / recommendation / comprehensive procedure

Assessment approach
Presentation

- Each question will be completed separately in assessment platform
- No use of other applications
- Complete table within the question and if the contents are split over different questions, copy and paste full tables into each
- Bullet points/headings

(a) Weakness	(b) Implication	(c) Recommendation

Module 1
Professional Ethics

Professional ethics

Ethical Principles

- Integrity
- Objectivity
- Professional competence and due care
- Confidentiality
- Professional behaviour

Ethical Threats

- Self-interest threat
- Self-review threat
- Advocacy threat
- Familiarity threat
- Intimidation threat
- Management threat

Professional ethics
Assessment approach

1. What is the issue?

IDENTIFY the ethical issues.

2. Why is this an issue?

Recall the **RELEVANT** ethical guidance and explain its **IMPLICATIONS** on an auditor's objectivity, independence or other fundamental principles of ethics.

3. What are you going to do?

APPLY the guidance to the given scenario

Ethical threats
Illustrative example

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Evaluate the [client] engagement, identifying any ethical threats, including the potential implications, and recommending appropriate safeguards to mitigate each threat.

Group Activity

Ethical threats

AA Workshop 1



Ethical threats – Practice Question

First issue

Flightlane plc (Flightlane)

As a result of your enquiries, you have learned that the audit team was invited to, and subsequently attended, Flightlane's annual office party. The client provided each member of the audit team with a free voucher worth £40, which could be redeemed at the venue for drinks during the party. The audit senior, who has worked on the audit for the last 4 years, has informed you that the audit team has attended the party each year as part of developing good client relations.

First scenario (Flightlane plc)

Issue (from scenario)

Implication (of ethical threats)

Hospitality provided by the client may result in familiarity threats. **(1 mark)** If the audit team attends the party, then the team may become too sympathetic or trusting because of a close relationship with the client, impairing team members' professional scepticism. **(2 marks)** The threat is exacerbated by the fact that the team has attended for several consecutive years.

The gift of the voucher may result in a self-interest threat. **(1 mark)** If team members accept the gift voucher, they are deriving a potential personal benefit from an audit client, which may motivate them to behave in a manner that aims to protect that benefit. **(2 marks)**

Potential answer to first scenario (Flightlane plc)

Answer A

The audit team went to the client's office party and accepted vouchers, creating a threat that the auditors are seen to be too close to the client.

Another potential answer to first scenario (Flightlane plc)

Answer B

The FRC's Ethical Standards says that 'a firm, its partners and any covered person, and persons closely associated with them, shall not offer or accept pecuniary and nonpecuniary gifts or favours, including hospitality, from an entity relevant to the engagement, or any other entity related to that entity, unless an objective, reasonable and informed third party would consider the value thereof as trivial or inconsequential'. The auditors need to decide whether the receipt of £40 vouchers is 'trivial or inconsequential'. Although £40 not a huge sum (and Flightlane is a plc so it might be quite a large audit with a very large fee in comparison) the vouchers may add up to a lot as there may be lots of people in the audit team, each receiving a voucher, and we are told that this the team has been going to these parties for four years.

Tutor Debrief

Module 2
Evaluating Data Integrity



Data integrity
Assessment approach

Analyse risks to data integrity and evaluate impact:

1. You should begin with **identifying risks** to data integrity when you are reading the scenario.

2. You should then **analyse the risk** by thinking of its implications. You need to think of the problems that risk would cause for data integrity.

3. When asked to evaluate the **impact of the risks on the organisation's strategy**, think about the impact of unreliable data on the company's ability to make proper decisions.

Analyse information to highlight any concerns over the accuracy, validity and completeness of the underlying data:

1. You need to begin by **identifying** the issue from the scenario and then **analysing** it.

2. It is important to read the information provided carefully. Look for unusual trends or information that appears to contradict other information and explain them.

Describe any further audit evidence (or procedures) that are required to conclude on whether reliance can be placed on the underlying data by the audit team:

1. When explaining evidence (or procedures), ensure that you identify the **source document** and then go on to explain what you are **confirming** from the source document.

Data integrity
Assessment approach

Analyse risks to data integrity and evaluate impact:

1. You should begin with **identifying risks** to data integrity when you are reading the scenario.
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Data Integrity – Example A

Grnr ltd is a manufacturer and seller of sustainable hygiene products. Some sales are made through wholesalers and distributors, but most of its sales are made direct to customers through its online sales platform. A core element of Grnr's commercial strategy is to use data analytic techniques to analyse sales and customer data to generate promotional content, such as advertising and promotional offers, targeted to specific market segments and key customers.

Data Integrity – Example A

Grnr decided to work with a local software development company to develop a bespoke integrated online sales platform and marketing analytics tool (Smrtr) for this purpose. In its contract the developer agreed to provide 500 hours of post-implementation support on the Smrtr system but, due to significant early issues with the system, this support allowance has already been used up.

Data Integrity – Example A

Identify the risk: Grnr agreed a time budget for post-implementation support on the Smrtr system, but this was quickly used up.

Analyse the risk: Without specialist support the Smrtr system, which is still new to Grnr, may have or develop issues which cannot be effectively resolved, which would threaten the integrity of the data held on Smrtr.

Evaluate the impact on Grnr's strategy: This would impact the ability to make good decisions when designing and targeting marketing activities, in support of Grnr's commercial strategy.

Data Integrity – Example B

Since the introduction of Smrtr, Grnr has received a number of communications from customers who have had difficulties in using the system. Among the issues they have raised, customers have commented that they have been unable to log in to their own accounts. Although every such customer was able to complete the sale successfully as a ‘guest’, they were disappointed that they were unable to collect Grnr loyalty points, as the sales were not recognised as relating to their own account.

Data Integrity – Example B

Identify the risk: Due to faults with the Smrtr system, some regular customers had to complete sales as ‘guests’, rather than through their own personal accounts.

Analyse the risk: Without consistent linking of sales to customers, the data used for marketing analytics will be incomplete and inaccurate.

Evaluate the impact on Grnr’s strategy: This would mean that Grnr risks missing valuable opportunities for targeted marketing activities, either because patterns in customer activities cannot be recognised or because invalid or misleading conclusions are drawn based on incomplete data.

Data integrity
Assessment approach

Analyse risks to data integrity and evaluate impact:

1. You should begin with **identifying risks** to data integrity when you are reading the scenario.
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Analyse information to highlight any concerns over the accuracy, validity and completeness of the underlying data:

1. You need to begin by **identifying** the issue from the scenario and then **analysing** it.
2. It is important to read the information provided carefully. Look for unusual trends or information that appears to contradict other information and explain them.

Describe any further audit evidence (or procedures) that are required to conclude on whether reliance can be placed on the underlying data by the audit team:

1. When explaining evidence (or procedures), ensure that you identify the **source document** and then go on to explain what you are **confirming** from the source document.

Data integrity – accuracy, validity and completeness

Illustrative example

Apply the procedures that the audit team should perform to confirm the accuracy, validity and completeness of the information provided for the planned substantive analytical review of trade payables. Document and evaluate the results of your procedures, including any issues identified with the data, and conclude on whether the data is appropriate for use by the audit team

Accuracy, validity and completeness of data
Top tips

- Consider trends – anything which is not in line with trend? (e.g. payroll increase not in line with increase in number of staff)
- Sequential numbering of sales invoices
- Round sum numbers – could suggest these have been rounded
- Values not agreeing between different systems

Is there anything in the question which indicates WHY these things have happened?

Data accuracy, validity and completeness – Practice question

First issue:

Veg have provided you with a trade receivables ageing listing (Appendix 1) as at 30 June 20X3. The listing shows the outstanding balances from the five customers in their invoiced currencies. The receivables ledger control account shows a balance of £1,778,533. The general ledger is interfaced with this control account monthly once the accounts receivable sub-ledger is closed. This is normally on the last working day of the month. Once the sub-ledger is closed, the financial accountant initiates a month end translation process where Euro denominated balances are translated at the closing exchange rate.

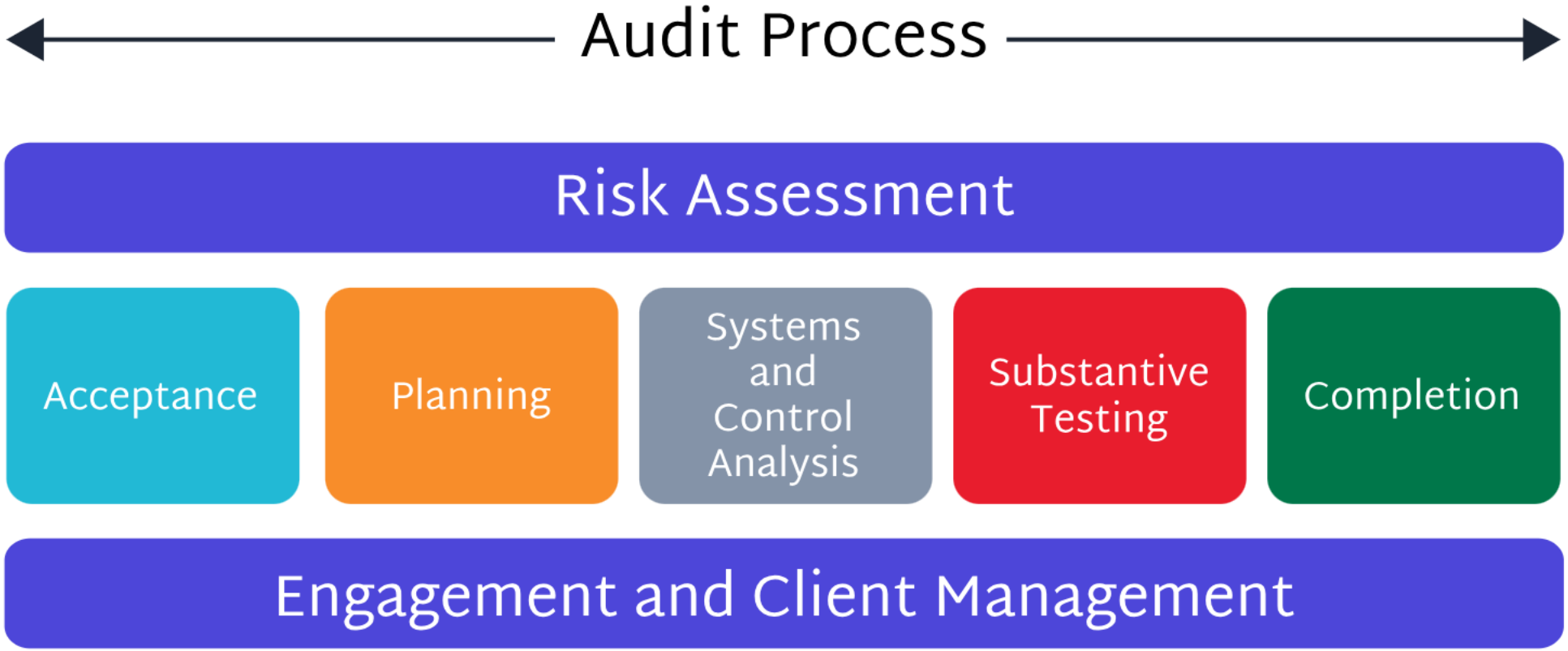
Account ID	Customer name	Total (£)	Total (invoicing currency)	0 - 30 days	31 - 60 days	61 - 90 days	> 91 days
P1001	Pumpkin Distributors	£493,480	542,828€	113,332€	104,060€	226,313€	99,123€
P1002	Potato Traders	£437,336	481,070€	-€	209,072€	132,981€	139,017€
F1003	Fresh Farm Produce	£-	-€	(344,821)€	212,384€	132,437€	-€
S1005	Silky Smoothies	£502,755	£502,755	£133,595	£150,322	£105,955	£112,883
P1001#	Error Unknown Acc	£(90,112)	(99,123)€				(99,123)€
G1001	Glasgow Veggies	£471,624	£471,624	£113,088	£127,919	£121,334	£109,283
	Total	£1,815,083					

Tutor Debrief

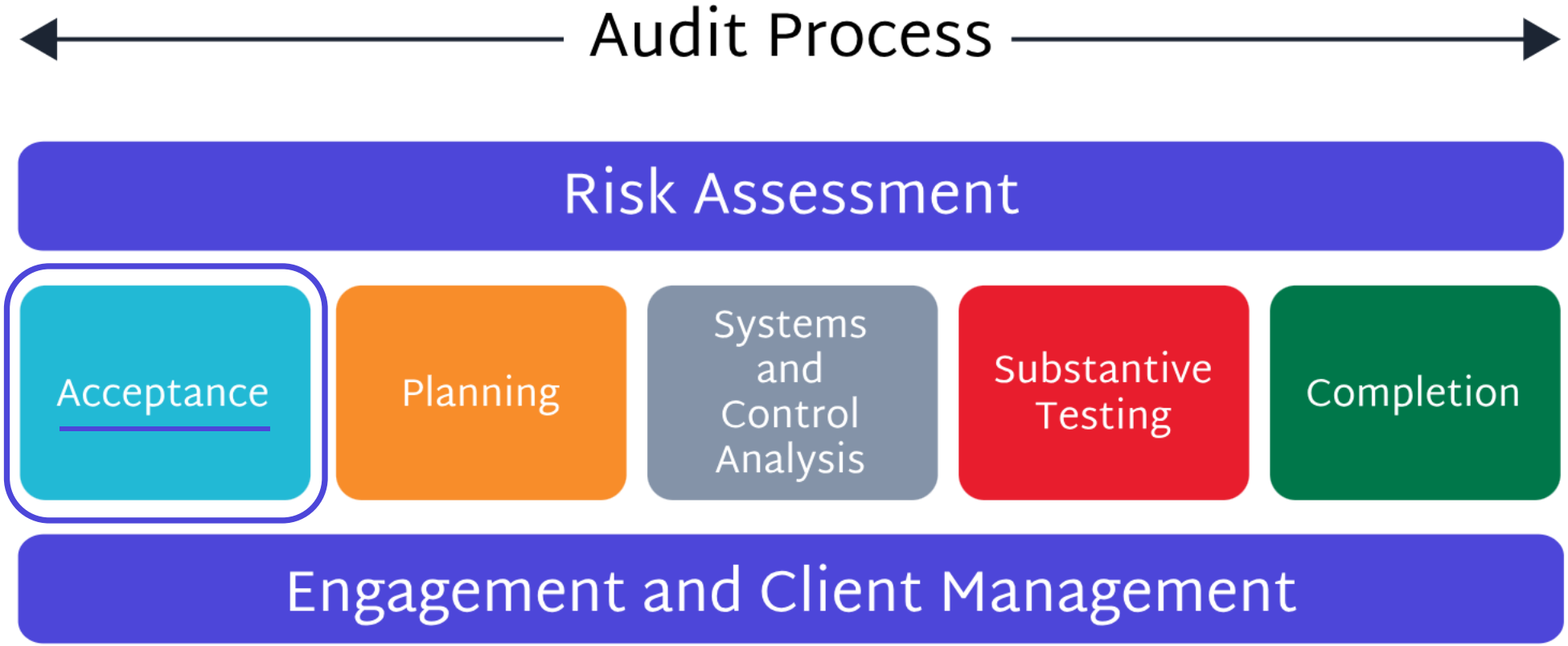
Module 3
Audit Acceptance and Continuance



Stages of the audit



Stages of the audit



Acceptance and continuance
Risks

Acceptance risk - A risk to the audit firm of accepting a new engagement.

Continuance risk - A risk to the audit firm of continuing an engagement.

Commercial risks

- **Financial risks**
- **Reputational risks**

Professional risks

- **Ethical risks**
- **Legal risks**

Acceptance and continuance
Risks

Financial risks

- Financial loss due to **unpaid fees**.
- Financial loss due to a **low fee** that does not meet the costs of the audit.
- Financial loss due to **litigation** related to the client.
- Financial loss due to damaged reputation and related **loss of clients**.
- The requirement to **forego fees** for non-audit services, in order to accept an audit appointment.

Reputational risks

- Association with an **unscrupulous client**.
- Association with a **client that fails**.
- Legal claims brought against the **professionalism** of the auditor.

Acceptance and continuance
Procedures

Basis for performance
Auditor previous
ID Procedures
Legal and financial stability
Management's integrity
Ability to audit
Nature and users

Procedure	Details
1. Identify the **user and nature** of the engagement	Includes understanding the prospective client, the impact on legal responsibilities and the nature of the financial statements.
2. Assess the prospective client's **legal and financial stability.**	An entity that is loss-making or having financial difficulties will introduce a risk that the audit firm's fees will go unpaid.
3. Assess the **integrity** of those charged with governance, management and the principal owners.	Management lacking integrity may hide information from the auditors to cover up wrongdoing.
4. Communicate with the **previous auditor**.	Under the ICAS Code of Ethics and the ISAs (UK), a prospective auditor is required to contact the existing or previous auditor.
5. Evaluate the audit firm's **ability to audit** the entity.	The auditor should consider resourcing and competency, any limitations imposed by the client and independence issues.
6. Perform the **client identification procedures**.	This is a statutory requirement and a risks assessment tool.
7. Agree the **basis for performance** of the audit.	The auditor and management should have a common understanding about the terms of the engagement.

Acceptance and continuance
Assessment approach

Evaluate acceptance / continuance risks arising:

1. You should begin with **identifying facts** from the scenario that would affect acceptance (or continuance) risks

2. You should then **explain** how these affect the firm's acceptance (or continuance) decision.

Recommend safeguards (**only** if asked for in question)

Acceptance/Continuance
Illustrative example

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Evaluate the acceptance risks relating to the proposed engagement

Group Activity

Acceptance and Continuance

AA Workshop 1



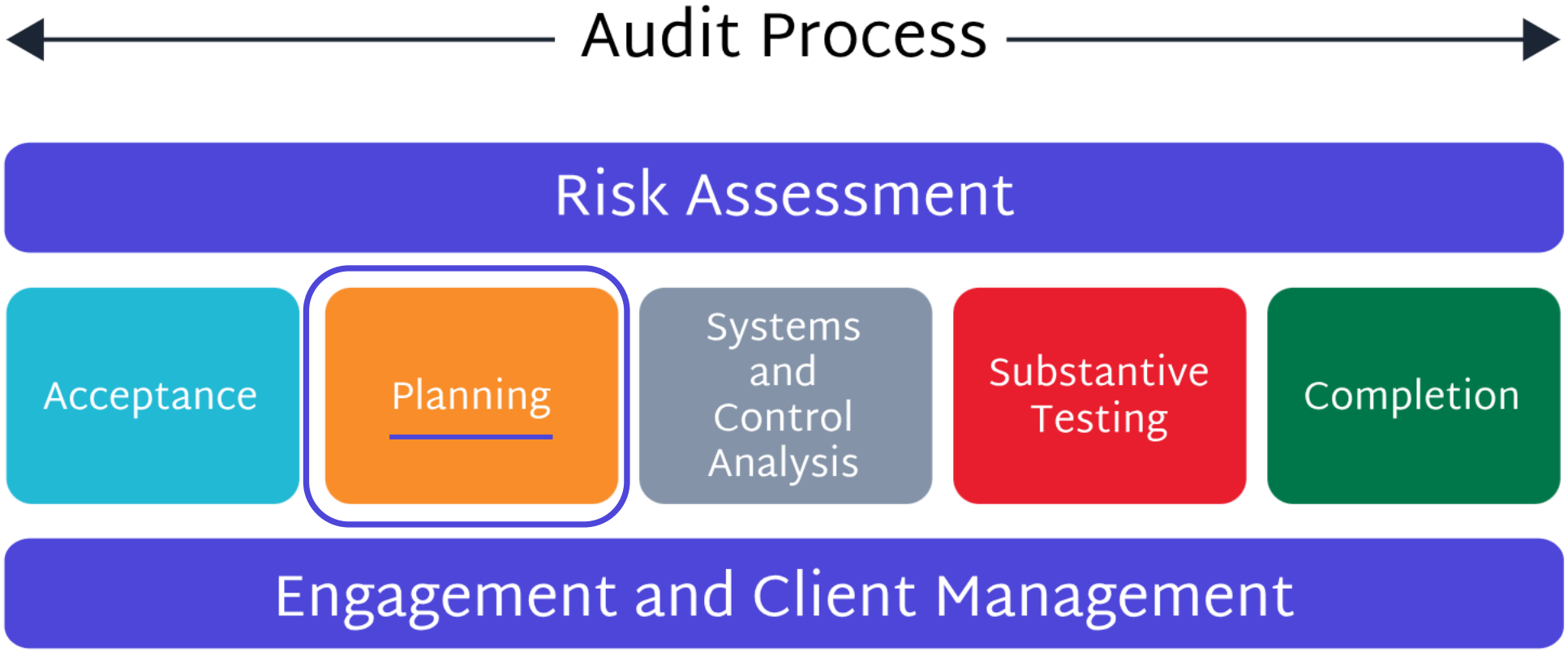
Acceptance and continuance Practice Question

Tutor debrief

Module 4
Audit Planning



Stages of the audit



Planning
Areas involved

Risk assessment – *covered in this workshop*

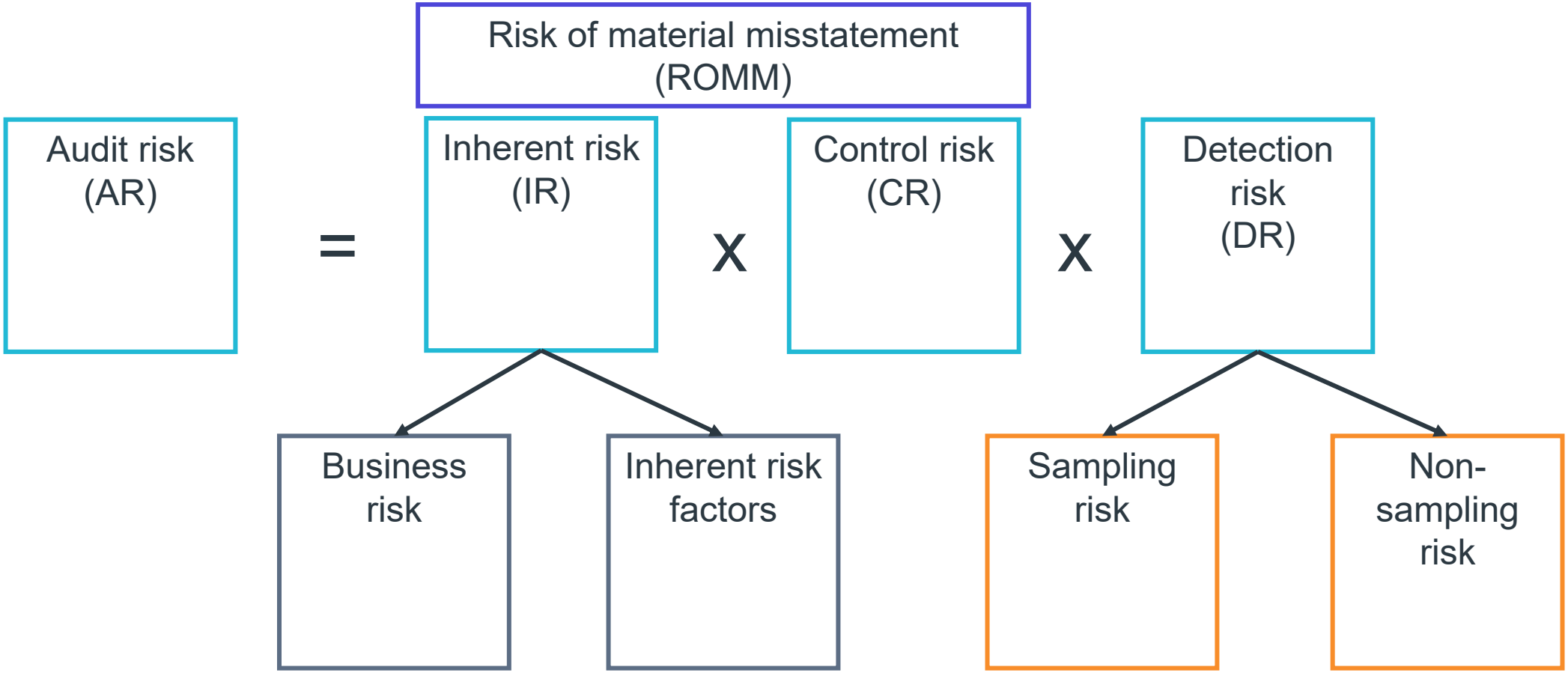
Planning analytical review – *covered in WS2*

Materiality – *covered in WS2*

Responses to assessed risks – *covered in WS2*

Documentation and communication with TCWG – *covered in WS2*

Audit risk equation



Inherent risk, control risk or detection risk?

- **Detection risk** is the risk that the **auditor** won't be able to detect material fraud or error in the financial statements.

- **Inherent risk** is the susceptibility of a financial statement account to a material misstatement, **irrespective of related internal controls**. Inherent risk is assessed by the auditor. It cannot be reduced by internal controls.

- **Control risk** is the risk that the entity's controls **will not** prevent or detect and correct a material misstatement in the financial statements on a timely basis. This is assessed by the auditor based on the effectiveness of management's internal controls.

Recap of audit risks

It’s quiz time….

Let’s test your knowledge of audit risks



Audit risk, business risk or both?

A company's annual staff appraisal process has become outdated, causing unease among some employees

??

A company is being investigated by its regulator for alleged serious breaches of environmental regulation

??

A company's executive directors receive relatively modest salaries, but can earn generous bonuses if they achieve certain profit targets

??

Audit risk, business risk or both?

A company's annual staff appraisal process has become outdated, causing unease among some employees

Business risk

A company is being investigated by its regulator for alleged serious breaches of environmental regulation

Both

A company's executive directors receive relatively modest salaries, but can earn generous bonuses if they achieve certain profit targets

Both

Inherent risk, control risk or detection risk?

Errors exist in the population that are not selected as part of an audit sample

??

The calculation of the year end derivatives valuation is complex and includes several estimates.

??

Due to staff shortages, reconciliations between sales reported by each of a company's shops and cash received into the company's bank account have not been performed for three weeks

??

Inherent risk, control risk or detection risk?

Errors exist in the population that are not selected as part of an audit sample

Detection risk

The calculation of the year end derivatives valuation is complex and includes several estimates.

Inherent risk

Due to staff shortages, reconciliations between sales reported by each of a company's shops and cash received into the company's bank account have not been performed for three weeks

Control risk

Financial statement level or assertion level?

1. Two key staff members in the financial reporting team have left the company prior to the preparation of the year-end financial statements.

??

2. A company has a high value of inventory held in consignment inventory.

??

3. A client with poor trading results is in danger of breaching conditions attached to a significant existing loan.

??

Financial statement level or assertion level?

1. Two key staff members in the financial reporting team have left the company prior to the preparation of the year-end financial statements.

Financial statement level

2. A company has a high value of inventory held in consignment inventory.

Assertion level

3. A client with poor trading results is in danger of breaching conditions attached to a significant existing loan.

Financial statement level

Financial statement level risk

At the **financial statement level**, misstatements could potentially affect many assertions and are not restricted to one area of the financial statements. Misstatements could arise from:

- **Fraud**: A higher risk of fraud could result in a ROMM over a number of accounts due to a higher risk of manipulation generally.

- **Going concern**: Going concern is a fundamental concept of the financial statements. Therefore, if there is a risk that the going concern assumption is not appropriate or that uncertainties are not disclosed properly, then this has an impact on the FS as a whole.

- **A weak control environment**: The impact of a weak control environment is likely to impact all account balances and transactions as the detailed controls within individual systems over all accounts are less likely to be operating effectively.

Assertion level risk

At the **assertion level**, risks should be linked to individual transactions, balances and, where applicable, the assertion. The auditor designs audit procedures to collect audit evidence in relation to each assertion. Therefore, the risk needs to be specified in relation to the assertion.

Account balances (Statement of Financial Position)	Classes of transactions (Statement of Profit or Loss)
Existence	Occurrence
Rights & obligations	Completeness
Completeness	Accuracy
Accuracy, valuation & allocation	Cut-off
Classification	Classification
Presentation	Presentation

Audit risks
Assessment approach

For audit risk questions:

1. Read through the scenario, highlight the relevant **facts** that can result in audit risk (increase the chances of fraud or error in the financial statements)

2. Think of the **impact** of each fact on the financial statements

Audit risks
Illustrative example

.

Identify and evaluate the audit risks for [client name].

Audit risks
Practice Question

Tutor debrief

Wrap up

Next steps

- 3 more AA workshops.
- Before the next workshop you must cover the remainder of module 4, and modules 5 and 6.

	Workshop 2	Workshop 3	Workshop 4
Modules required	4, 5 & 6	7, 8 & 9	10, 11 & 12

Tips

- Revisit any areas where you feel less confident.
- Attempt question practice – skills builders, Zester case studies & assessment style questions.
- Post queries on the discussion board.
- Practice using permitted materials

Getting help

Skills technical queries

- Class tutors
- Discussion boards

Administrative queries

- students@icas.com

Help Centre within Advantage

- Contains a lot of useful information

Any questions?

